GoOuts Sponsor & Budget Brief — V8 Master Hybrid Ledger

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Subject: 4-Pillar Hyper-Split Payment & Internal Stripe Treasury Architecture

Classification: Confidential / Internal Board Review / Investor-Ready

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1. Executive Summary

GoOuts operates a closed-loop payment ecosystem utilizing Stripe Issuing as a core treasury vault and UK Open Banking (VRP/PISP) as real-time funding pipes. By deploying Retail Consumer Virtual Cards residing in users' Apple Wallet and Google Pay ecosystems, GoOuts completely bypasses commercial card onboarding friction, business verification bottlenecks, and heavy regulatory overhead.

The platform features a proprietary 4-Pillar Hybrid Ledger that programmatically assembles and merges four distinct funding sources seamlessly during a single physical card swipe. The system operates at a zero-fee processing baseline because all internal asset adjustments within Stripe cost £0.00, while external bank-to-card bridging is executed via low-cost Open Banking rails.

Rather than relying on rigid card network interchange fees, the platform acts as a high-yield marketing agent for merchants. Partner venues agree to a total marketing discount structure (typically 20%), which GoOuts claws back instantly from the merchant's bank account via an automated Open Banking B2B mandate the exact second a card is tapped. The platform retains a fixed operational slice (3% to 5%) to cover all transaction network utility costs and generate pure platform profit, while routing the remaining portion (15%) directly into the user's GoOuts wallet as instant, spendable cashback.

2. Real-Time Transaction Mechanics (The £10.00 Target Scenario)

When a customer taps their GoOuts consumer virtual card at a partner cafe terminal to pay a £10.00 bill, the partner venue operates on a pre-negotiated 20% Marketing Deal (Total contract clawback value = £2.00).

The GoOuts system handles the 4-pillar balance assembly within a 2000ms webhook window:

```
[ USER TAPS PHONE ON PHYSICAL POS: £10.00 ]
                    |
      (Stripe pauses swipe & fires Webhook)
                    |
                    ▼
[ GOOUTS 4-PILLAR HYBRID LEDGER BALANCE POOL ]

[PILLAR 1: CASHBACK]  [PILLAR 2: WALLET]    [PILLAR 3: BONUS]      [PILLAR 4: THE GAP]
      £2.00                 £4.00                 £2.00                  £2.00
Accumulated rewards   User cash deposits    GoOuts Promo Float     Real-Time Customer
 sitting inside your   sitting inside your   pre-funded inside      VRP Bank Pull via
 Stripe balance pool.  Stripe balance pool.  Stripe from Barclays.  Open Banking.
                      |
                      ▼
   [ TOTAL CONSOLIDATED CARD POOL LOADED: £10.00 ]
                      |
    (Backend replies: {"approve": true})
                      |
                      ▼
   [ CAFE TERMINAL COMPLETELY CLEARED & PAID £10.00 ]
     - Stripe Outbound Transaction Processing Fee: £0.00
```

Pillar Functional Breakdown

- **Pillar 1 — Cashback (£2.00):** Earned rewards previously generated by the user, held inside the platform's collective Stripe balance. Internal routing cost: £0.00.
- **Pillar 2 — Wallet Balance (£4.00):** Real cash funds previously stored or deposited by the user inside the ecosystem. Internal routing cost: £0.00.
- **Pillar 3 — Welcome Bonus (£2.00):** One-time platform marketing promotion. To protect terminal processing speeds and avoid the multi-second latency of high-street banking APIs mid-transaction, this is drawn from a pre-funded "GoOuts Marketing Float" held directly inside Stripe (topped up periodically via manual lump-sum bank transfers from the primary Barclays Corporate bank account). Internal routing cost: £0.00.
- **Pillar 4 — The Gap (£2.00):** The immediate funding deficit. The backend instantly fires an Open Banking VRP instruction to pull £2.00 directly from the customer's high-street bank account into Stripe via Faster Payments. External routing cost: ~£0.08 flat utility fee.

3. The Post-Transaction Revenue & Commission Sweep

The millisecond the card machine clears the £10.00 swipe, GoOuts fires its automated B2B Open Banking mandate to harvest the cafe's contract fee:

- **The B2B Clawback:** GoOuts pulls the 20% contract fee (£2.00) directly from the cafe's business bank account via automated Faster Payments.
- **The Split Allocation:** Your backend automatically routes the £2.00 inflow inside your Stripe corporate account:
  - **GoOuts Platform Margin (5%):** £0.50 is kept as pure company profit (net of your ~10p open banking utility costs).
  - **User Wallet Cashback (15%):** £1.50 is instantly credited to the user's app interface as spendable reward capital for their next purchase.

4. Financial Architecture Control Matrix (Per £100.00 Spend)

To scale these unit economics across a standard £100.00 cumulative card spend assuming a 20% contract layout (5% GoOuts retention, 15% user cashback):

Step	Transaction Element	Financial Impact	Processing Network Channel
Inflow	**Gross Merchant Marketing Fee (20%)**	**+£20.00**	Open Banking B2B VRP Mandate (Clawback)
Inflow	**Consumer Card Interchange**	**+£0.20**	Capped UK Consumer Interchange passed by Stripe (0.20%)
Outflow	**Leg 1: User "Gap" VRP Pull Fee**	**-£0.08**	Open Banking Customer VRP Rail
Outflow	**Leg 2: Merchant Contract Sweep Fee**	**-£0.02**	Open Banking B2B Faster Payments
Outflow	**Stripe POS Transaction Fee**	**£0.00**	Stripe Issuing Core Network
Outflow	**User Incentive Re-Allocation (15%)**	**-£15.00**	App Wallet Credit (Instant User Cashback Pool)
🟢 **Net**	**Pure Profit Retained by GoOuts**	**+£5.10**	**Retained Margin on £100.00 Transacted Volume**

Key Financial Takeaways

1. **Net-Positive Technical Costs:** Total open banking infrastructure fees amount to roughly 10p per transaction. Because Stripe passes back 100% of the legally capped 0.20% consumer interchange (+20p per £100), your network costs are entirely neutralized, yielding a 10p utility profit before the merchant fee is touched.
2. **Unprecedented Net Retained Margins:** Keeping a 5% marketing slice yields an unencumbered £5.10 pure platform profit per £100 cleared through the ecosystem.
3. **Zero Capital Drag:** Marketing incentives and user cashback are entirely funded by the merchant's marketing budget, swept in real time with zero rolling working capital requirements.

5. Regulatory Perimeter & Legal Shielding

🛑 The Definitive Compliance Verdict for GoOuts

Do not attempt to acquire an individual, direct FCA license (API/EMI) or register as a direct PISP agent for launch. This would drain up to £50,000 in startup runway, require intense regulatory locked capital, and cause months of legal delay.

Instead, GoOuts operates completely under the **Technical Service Provider (TSP) Exclusion** of the UK Payment Services Regulations (Schedule 1, Part 2, Paragraph j). GoOuts functions strictly as a technical intermediary software layer. The platform does not touch, hold, or safeguard client e-money directly. Instead, it securely commands fully authorized and regulated institutions to route the assets.

Your Three-Tier Legal Shield

1. **The Bank Vault Layer:** All accumulated corporate profits and long-term treasury assets sit inside an independent, traditional high-street commercial banking institution (e.g., Barclays Corporate).
2. **The Open Banking Infrastructure Layer:** Your underlying open banking data providers (e.g., TrueLayer/Yapily) carry the formal regulatory PISP/AISP credentials. They bear 100% of the regulatory liability for transmitting data and execution commands between bank nodes.
3. **The Card Network Provider Layer:** Stripe Issuing absorbs 100% of the compliance, network security, PCI-compliance, and card-network liabilities associated with issuing the payment credentials into the Apple Wallet and Google Pay ecosystems.

6. System Execution Status & Investor Takeaways

- **Frictionless User Onboarding:** Transitioning to standard Retail Consumer Virtual Cards reduces user activation friction to zero, dropping onboarding costs down to a flat, one-off 10p virtual card creation asset cost.
- **Perfect Speed Execution:** Holding all operational, wallet, cashback, and welcome bonus funds directly inside Stripe guarantees that real-time authorization webhooks execute in under 2 seconds, protecting user UX at checkout.

- **High-Margin Scalability:** Over 80% of seed and sponsor capital can be deployed directly into market expansion and user acquisition, driven by an infrastructure loop running at an elite-tier profit margin.

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